

What Is a Millionaire?

I've found the word *millionaire* means different things to different people. There's an emotional component and a mathematical component. On the emotional side, I believe people desperately want to experience a sense of financial independence. By *independence*, I mean they want to know their bills will be covered without them having to work for the rest of their lives. They want to know there will be a day sometime in the future when they can choose not to work, when they can experience full control over their time—without driving their family's financial situation off a cliff. That kind of freedom and security sounds pretty good, doesn't it?

I want you to become financially independent, and I can show you how to do that. This book, though, is about *millionaires*, and millionaire status is more mathematical than emotional. So, what *is* a millionaire? First, I'll say I'm *not* talking about people who earn \$1 million a year. I'm always surprised when someone thinks that's what a millionaire is. That's not it at all. A millionaire is simply someone whose net worth is at or above \$1 million. *Net worth* is the key phrase here, and—like I said in the introduction—it simply means everything you *own* minus everything you *owe*. It's the total value of all your stuff—your house, cars, bank accounts, investments, and other assets—minus your liabilities (debts). For example, if your home is worth \$300,000 and you owe \$200,000 on a mortgage, you would subtract that \$200,000 debt from the home's value, leaving you with \$100,000 of equity in the home. If you added that to the \$50,000 in your 401(k), the \$8,000 in your savings account, the \$2,000 in your checking account, and the \$10,000 value of your paid-for car, your total net worth would be \$170,000.

So when I say we studied over 10,000 net-worth millionaires in preparation for this book, I mean we talked to over 10,000 people whose net worth tops the \$1 million mark. That doesn't mean they have \$1 million sitting in a checking account, and it doesn't mean they have \$1 million